

PUBLIC COMMENT ON SEC PROPOSED RULE

File No. S7-2026-15 — Semiannual Reporting

Pre-Drafted Asset 01 — Submitted by Sohail Mirza Amjad Baig

SUBSTANTIVE COMMENT

Identification of the Commenter

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Summary of Comment

The undersigned supports the Commission's effort to give domestic registrants the option to file on Form 10-S in lieu of Form 10-Q under the proposed Semiannual Reporting framework, subject to the qualifications set out below. The substantive point of the comment is that the success or failure of any change in reporting cadence is determined, at the operating-company level, by the integrity of the underlying receivables, cash, bank, reconciliation, and internal-controls discipline that produces the reported numbers. Adjusting the cadence without strengthening the operating-layer financial-controls infrastructure that feeds it would shift the timing of disclosure without improving its quality. The Commission should pair the cadence option with explicit guidance that supports operating-layer financial-controls modernization at mid-market and smaller registrants.

1. The Operating-Layer Financial-Controls Foundation Is the Binding Constraint

At the operating-company level, period-end reporting quality is a function of three connected systems: (a) the accounts-receivable sub-ledger and its reconciliation to the general ledger; (b) the cash-management module within the enterprise resource planning (ERP) platform, including bank-statement automation, multi-bank and multi-currency reconciliation, and treasury workstation integration; and (c) the internal-controls and audit-liaison work that produces audit-grade trace evidence at month-end and quarter-end. These three systems are the binding constraint on the quality of any interim disclosure. Adjusting the disclosure cadence to semiannual does not change the systems; it changes only the frequency at which their output reaches investors.

The commenter's twenty-plus years of experience in this layer, including three completed ERP migrations (Oracle E-Business Suite R11 in 2010, Oracle R12 in 2012, and SAP S/4HANA in 2022) at a high-volume beverage manufacturer, indicates that the costs of period-end close are concentrated at month-end six and month-end twelve of the fiscal year regardless of whether the registrant files a Form 10-Q at quarter-end three and quarter-end nine. The peer-reviewed empirical work the commenter co-authored in *Migration Letters* (2024, Vol. 21, No. S11) corroborates this, with accounts-receivable efficiency and quality standardization producing the highest empirical loadings on sustainable enterprise performance among the four drivers tested.

2. Semiannual Cadence Will Benefit Some Registrants and Disadvantage Others

For smaller domestic registrants with stable revenue, low receivables volatility, and predictable working-capital cycles, semiannual interim reporting on Form 10-S will reduce direct compliance cost and management distraction without materially reducing the quality of the information reaching investors. For registrants with seasonally volatile receivables, lumpy revenue recognition, or active working-capital programs financed against the receivables base, semiannual cadence will leave significant performance variance undisclosed for longer periods, which the credit and lending markets will price in through tighter covenants, higher pricing, or reduced facility size.

The Commission's framework should accordingly: (a) confirm that election of semiannual reporting is reversible without prejudice, so registrants can return to quarterly reporting if the operating profile changes; (b) clarify the audit-readiness and internal-controls testing expectations for registrants that elect semiannual reporting; and (c) preserve the existing Section 404 internal-controls attestation regime in unchanged form, with no inference that semiannual cadence reduces the substantive Section 404 obligation.

3. Recommended Companion Guidance on Operating-Layer Modernization

The undersigned respectfully recommends that the Commission accompany any final rule with companion staff guidance addressing the following operating-layer questions, which are the questions that determine whether semiannual reporting works in practice:

First, expectations regarding mid-period reconciliation discipline. Registrants electing semiannual reporting should be expected to maintain monthly bank and receivables reconciliations internally even where quarterly external disclosure is not required, because the audit-readiness and internal-controls infrastructure depends on month-end discipline at every month, not only at the months reported externally.

Second, guidance on the Form 10-S MD&A discussion of mid-period variances. The Form should require discussion of any material variance that occurred mid-period but resolved before the semiannual reporting date, so that investors can understand the underlying volatility profile even when the period-end snapshot is stable.

Third, clarification of the receivables and cash-flow disclosure expectations on Form 10-S. The proposed amendments to Regulation S-X should be paired with explicit guidance that the receivables aging analysis, the days-sales-outstanding trend, and the cash-conversion-cycle trend should be presented on

a comparable basis to the prior-period Form 10-Q disclosure, so that investors can construct continuous time series across the cadence change.

4. The Cadence Change Should Not Reduce Investment in Operating-Layer Modernization

A risk in any move toward less frequent disclosure is that operating companies treat the reduced cadence as license to underinvest in the operating-layer infrastructure. The Commission should make explicit that the Form 10-S option does not change the substantive obligation to maintain receivables, cash, bank, reconciliation, and internal-controls discipline at the same standard previously required to support Form 10-Q. Mid-market registrants in particular face documented constraints in the cross-platform ERP-financial-controls expertise needed to maintain that standard, as documented in the U.S. Bureau of Labor Statistics Occupational Outlook Handbook entry for Accountants and Auditors at [bls.gov/ooh/business-and-financial/accountants-and-auditors.htm](https://www.bls.gov/ooh/business-and-financial/accountants-and-auditors.htm) and in the American Institute of Certified Public Accountants pipeline reports at aicpa-cima.com. Strengthening that operating-layer capacity is, in the commenter's view, the larger policy question of which the cadence question is one part.

5. Closing

The undersigned supports the Commission's exercise of optionality on interim reporting cadence and respectfully recommends that the final rule pair the Form 10-S option with the companion operating-layer guidance described above. The Commission's attention to the integrity of operating-layer financial-controls infrastructure, on which both quarterly and semiannual reporting ultimately rests, is the foundation of investor confidence and capital-formation efficiency in the U.S. mid-market segment that the proposed rule most directly affects.

Respectfully submitted,

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